ORRICK FUEL PARTNERS — ANNUAL FINANCIAL DISCLOSURE

(EXCERPT)

The following is an extract from the annual financial disclosure of Orrick Fuel Partners, prepared by the company at the request of the Office of the Attorney General of the State of Arden. All figures relate to the most recently completed financial year and are expressed in millions of United States dollars.

1. Business profile and corporate organisation

Orrick Fuel Partners is organised under the laws of Louisiana and is privately held. Its workforce numbers approximately 663 persons spread across 16 states, and it reports through the segments identified below. Corporation Service Company serves as the company's registered agent in Arden.

2. Segment revenue performance

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Refined products wholesale	842	47.3	yes
Heating oil retail	198	11.1	yes
Storage and throughput	466	26.2	no
Corporate	274	15.4	no
Total revenue	**1,780**	**100.0**	

Revenue from sales of Fossil Fuel Products, as that term is defined in the Climate Resilience Funding Act, comprises the segments marked above and totalled $1,040M for the year; revenue from all segments totalled $1,780M. In the preceding year the corresponding proportion was 58.4%.

3. Capital spending, depreciation and impairment

Capital expenditure for the year came to $71.1M, and 75.2% of that amount was directed to the maintenance of existing assets. Depreciation, depletion and amortisation amounted to $96.3M. An impairment of $7.7M was recorded in respect of two idled terminals.

4. Commodity price exposure and hedging activity

Approximately 39.4% of anticipated production or purchase volumes for the coming year was hedged. At year end the notional value of open derivative positions stood at $216.4M. Had benchmark prices moved adversely by ten per cent, pre-tax earnings would have been reduced by $11.0M.

5. Safety, environmental and workforce matters

The recordable injury rate stood at 0.76 per two hundred thousand hours worked. Across all jurisdictions the company reported 7 notices of violation, and civil penalties paid came to $2.6M. Voluntary turnover for the year was 7.6%.

6. Litigation and loss contingencies

The company is a party to 7 proceedings, all arising in the ordinary course of business. Management does not consider any of them, whether individually or in the aggregate, likely to result in a material adverse effect. Accruals in respect of loss contingencies amounted to $5.1M.

7. Geographic distribution of revenue

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 43.2% of revenue. Arden accounted for 2.7% of revenue, and no single customer represented more than 4.6% of revenue. Operating permits are held in 26 states, together with one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	562.6	31.8	124
Mid-Atlantic and north east	422.1	13.7	146
Midwest	249.5	14.8	63
West and mountain	279.1	10.1	99
All other, including Arden	136.8	4.1	32

The regional figures above reflect management's allocation and are rounded; they are not a segment disclosure and do not sum to total revenue.

8. Commitments and off-balance-sheet arrangements

Take-or-pay and transportation contracts give rise to purchase obligations of $283.4M, of which $67.5M falls due within one year. Commitments under operating leases were $13.2M. Surety bonds and letters of credit totalling $13.3M have been issued, principally in respect of decommissioning and of state fuel tax obligations. Other than those described, the company has no off-balance-sheet financing arrangements.

9. Taxation

The effective rate for the year was 26.2%, compared with a statutory federal rate of 21%. The principal reconciling items comprised state taxes net of federal benefit (3.3 points), depletion allowances (7.1 points adverse to the reconciliation) and the resolution of an examination covering the years 2017 to 2021. Unrecognised tax benefits stood at $2.1M. The company is under examination in 7 states; Arden is not among them.

10. Transactions with related parties

Sales to entities in which a director or officer holds an interest of ten per cent or more amounted to $1.9M, on terms management believes to be no less favourable than those available from unrelated parties. Office space is leased from a partnership in which two officers hold interests.

11. Critical accounting estimates and judgements

Management regards as critical the recognition of revenue on contracts with variable consideration, the assessment of asset retirement obligations (discount rate 5.4%, expected settlement over 34 years), the recoverability of long-lived assets, and the valuation of open derivative positions where quoted prices are not available. A ten per cent change in the discount rate applied to retirement obligations would change the recorded liability by $3.5M.

12. Five-year summary of selected financial data

	2020	2021	2022	2023	2024
Total revenue ($M)	1,489.0	1,600.3	1,732.1	1,673.9	1,780
Revenue from Fossil Fuel Products ($M)	870.0	935.0	1,012.0	978.0	1,040
Capital expenditure ($M)	75.5	71.3	65.6	71.7	71.1
Employees (000)	0.6	0.6	0.6	0.6	0.5

Figures for prior years are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Events after the reporting date

On 24 July the company settled an environmental proceeding, without admission, for consideration of $13.7M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions to holders

Distributions paid to holders were $29.0M, equivalent to 63.3% of distributable cash flow. The board has not adopted a fixed distribution policy.

Prepared for the purposes of the constitutional review only. Not filed with any securities regulator and not audited as presented.